PREMIER PAYFAST (PRIVATE) LIMITED

CHARGEBACK & DISPUTE RESOLUTION POLICY

For Merchants, Super Merchants and Aggregators

Forms Part of the Merchant Agreement, Super Merchant Agreement, Aggregator Agreement, and Terms & Conditions, as Applicable

Reference	Details
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Applies To	All Merchants, Super Merchants and Aggregators of Premier PayFast (Private) Limited
Applicable Networks	Visa, Mastercard, PayPak, and other supported Payment Schemes
Status	Forms part of the Merchant Agreement / Super Merchant Agreement/Aggregator Agreement / Terms & Conditions

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SECTION 1. PURPOSE AND SCOPE

1.1. This Chargeback and Dispute Resolution Policy (the "**Policy**") is issued by Premier PayFast (Private) Limited ("**Premier PayFast**"). This Policy establishes Premier PayFast's comprehensive governance and operational framework for the management, processing and resolution of Chargebacks, the responsibilities of Merchants, including Sub-Merchants, Super Merchants and Aggregators, and prescribes the procedures, controls and escalation mechanisms that govern Chargeback-related activities across the Premier PayFast Platform.

1.2. Without limitation, this Policy governs:

1.2.1. the review and processing of Chargebacks from partner/Acquirer banks or Payment Schemes;
1.2.2. communication with Merchants and Aggregators regarding Chargebacks and related disputes;
1.2.3. the collection, review and submission of Fulfillment documentation and supporting evidence;
1.2.4. dispute Representment, Pre-Arbitration and Arbitration proceedings;
1.2.5. Settlement adjustment and withholding, reserve management and other risk mitigation measures implemented in connection with Chargeback exposure;
1.2.6. recovery of Chargeback liabilities from Merchants and Super Merchants/Aggregators;
1.2.7. Merchant risk classification and monitoring activities relating to Chargeback exposure; and
1.2.8. Any ancillary activity required to ensure compliance with applicable Payment Scheme rules and regulatory requirements.

1.3. This Policy applies to:

1.3.1. All Merchants onboarded by Premier PayFast, whether directly or through an Aggregator/Super Merchant i.e. a Sub-Merchant; and
1.3.2. All Aggregators and Super Merchants operating through the PayFast Platform;

in respect of all Transactions processed through the Premier PayFast Platform.

1.4. This Policy forms part of, and is incorporated by reference into, the Agreement, and is the Chargeback policy and the dispute resolution standard operating procedure referred to in the Agreement. This Policy shall be read and applied together with the Agreement and the Applicable Law. The provisions of this Policy shall apply to matters addressed herein, including where the Agreement is silent on such matters. Where any provision of this Policy is inconsistent with an express provision of the Agreement and/or the Applicable Law, the relevant provision of the Agreement or Applicable Law.

1.5. Nothing in this Policy limits, waives or qualifies any right, entitlement or remedy available to Premier PayFast under the Agreement, the Payment Scheme Rules or Applicable Law, whether or not that right is referred to in this Policy.

1.6. Premier PayFast may amend this Policy to reflect any change in the Payment Scheme Rules, Applicable Law or a Regulatory Instruction, and shall make the amended Policy available periodically.

SECTION 2. DEFINITIONS

Term	Definition
3D Secure (3DS)	A Card-Not-Present transaction that has been authenticated using the applicable 3-D Secure protocol, enabling additional Cardholder verification.
Acquirer	A bank or financial institution licensed by a Payment Scheme that acquires Transactions, settles funds and is responsible to the Payment Scheme for Chargebacks arising on those Transactions.
Aggregator	A legal entity that has entered into a Super Merchant Agreement or Aggregator Agreement with Premier PayFast and onboards Sub-Merchants onto the Premier PayFast Platform under its own Merchant account, bearing primary financial and compliance liability for their Chargebacks, fraud, and Payment Scheme obligations.
Aggregator Agreement	The agreement between Premier PayFast and an Aggregator governing the provision of payment services to that Aggregator and its Sub-Merchants.
Agreement	The Merchant Agreement, Super Merchant Agreement or Aggregator Agreement, the Terms and Conditions, as applicable, together with all annexures, schedules and policies issued under it, including this Policy issued under it.
Applicable Law	All laws, statutes, rules, regulations, directions, circulars, guidelines, orders, notifications and regulatory requirements of Pakistan applicable to Premier PayFast, or to a Transaction, including the Payment Systems and Electronic Fund Transfers Act, 2007 (the "**PS&EFT Act**"), the Rules for Payment System Operators and Payment Service Providers issued by the State Bank of Pakistan vide PSD Circular No. 03 of 2014 dated 23 October 2014 (the "**PSO/PSP Rules**"), the Rules for Digital On-boarding of Merchants issued vide PSD Circular No. 03 of 2019 dated 1 November 2019, the Electronic Fund Transfers Regulations issued vide PSD Circular No. 03 of 2018 dated 9 May 2018, anti-money laundering and countering of financing of terrorism laws, consumer protection laws and the Payment Scheme Rules, in each case as amended, supplemented or replaced from time to time.
Arbitration	The final dispute resolution stage in which the Payment Scheme issues a determination on an unresolved Chargeback that is final and binding.
Business Day	A day, other than a Saturday, Sunday or public holiday, on which banks are open for business in Pakistan.
Cardholder	A customer to whom a Payment Card is issued by their Issuer Bank.
Category A Merchant	A Low-Risk Merchant, classified per the criteria in Section 6.
Category B Merchant	A High-Risk Merchant, classified per the criteria in Section 6.

Chargeback	A dispute mechanism under Payment Scheme rules whereby an Issuer, acting on a Cardholder's dispute, reverses a previously processed Transaction to the Acquirer for review and resolution.
Chargeback Notification	The notice (email) issued by Premier PayFast to a Merchant, Super Merchant or Aggregator recording a Chargeback, the Chargeback Reason, the disputed amount, the response deadline and the Fulfillment Documentation required.
Chargeback Reason	A Chargeback reason assigned by the Payment Scheme classifying the basis of a Chargeback and defining the applicable evidence, timeframes and dispute steps.
Chargeback-to-Sales Ratio	The ratio, expressed as a percentage, of the number or value of Chargebacks raised against a Merchant in a calendar month to the number or value of Transactions processed for that Merchant in that month.
Fulfillment Documentation	The records, evidence and information submitted in response to a Chargeback Notification in order to contest or settle the Chargeback, as described in Section 5.
Issuing Bank / Issuer	The bank or licensed financial institution that issues Payment Cards to the Cardholder under an applicable Payment Scheme, and that initiates the Chargeback on behalf of the Cardholder.
Merchant	Any business entity or individual that has entered into a Merchant Agreement with Premier PayFast, whether directly or as a Sub-Merchant onboarded through a Super Merchant or Aggregator or outlet merchants, and is authorized to accept Card payments through the Premier PayFast Platform.
Merchant Agreement	The agreement between Premier PayFast and a Merchant governing the provision of payment services to that Merchant.
Merchant Discount Rate (MDR)	The fee charged by Premier PayFast on a Transaction, which is not refunded where a Chargeback is upheld.
Payment Card / Card	A card or card-based payment instrument issued by an Issuer under a Payment Scheme that enables a Cardholder to make payments for goods or services.
Payment Scheme	A set of interbank rules, practices, and standards necessary for the functioning of payment services, including card schemes comprising the technical and commercial arrangements, branding, and operational framework for the services of PayPak, UPI , Visa, Mastercard and any other scheme accepted by Premier PayFast.
Payment Scheme Rules	The operating rules, regulations and standards of a Payment Scheme, as amended from time to time.
Pre-Arbitration	A stage in the dispute process where the Issuer escalates an unresolved Chargeback before formal Payment Scheme Arbitration.

Premier PayFast	Premier PayFast (Private) Limited, being a licensed Payment System Operator/Payment Service Provider processing Transactions on behalf of Merchants through the Premier PayFast Platform.
Premier PayFast Platform	The payment processing platform, including the payment gateway, operated by Premier PayFast through which Merchants and Super Merchants/Aggregators accept, process, and manage Payment Card and other supported digital payment Transactions.
Regulatory Instruction	Any written direction, order, instruction, requirement or request issued by the State Bank of Pakistan, any other governmental, regulatory, law enforcement or investigating authority, or any court of competent jurisdiction, applicable to Premier PayFast, to the Merchant or to a Transaction.
Representment	The process by which a Merchant, through Premier PayFast, submits Fulfillment Documentation to dispute a Chargeback.
Retrieval Request	A request by an Issuer for information or documentation relating to a Transaction, which may precede a Chargeback.
Risk-Based Settlement Hold	A hold on Settlement applied under Clause 7.6 by reference to risk, independently of any particular Chargeback.
Security Reserve	The reserve, where required by Premier Payfast, maintained by or on behalf of the Merchant, Super Merchant or Aggregator to settle actual or contingent Chargeback and related liabilities.
Settlement	The payment by Premier PayFast to a Merchant, Super Merchant or Aggregator of amounts due in respect of Transactions, net of applicable fees, taxes and any amounts withheld or adjusted under this Policy. A reference to Settlement includes the Settlement Amount as defined in the Agreement
Settlement Adjustment	An adjustment made by Premier PayFast to the amount otherwise payable to a Merchant or Aggregator in settlement, following the resolution of a Chargeback, to recover or account for the amount of the Chargeback liability debited or otherwise deducted from Premier PayFast by the Acquirer or applicable Payment Scheme in respect of such Chargeback, as described in Clause 7.5.
Settlement Withholding	The advanced temporary withholding or deferral of a disputed amount from Settlement, pending resolution of a Chargeback, as described in Clause 7.2.
SBP	State Bank of Pakistan
Sub-Merchant	A Merchant onboarded onto the Premier PayFast Platform by a Super Merchant or Aggregator.
Super Merchant	A Merchant that, under its agreement with Premier PayFast, transacts on its own account and also onboards or facilitates Transactions for other businesses, and which is distinct from an Aggregator.

Super Merchant Agreement	The agreement between Premier PayFast and a Super Merchant governing the provision of payment services to that Super Merchant and the businesses it onboards.
Transaction	A payment made by a Cardholder using a Payment Card or other payment instrument that is processed through the Premier PayFast Platform.

2.1. A reference to a Section or a Clause is a reference to a Section or Clause of this Policy. The singular includes the plural, and a reference to a person includes a body corporate. Headings are for convenience and do not affect construction.

2.2. Capitalized terms used but not defined in this Policy have the meanings given to them in the Agreement.

SECTION 3. PAYMENT SCHEME CHARGEBACK TIMEFRAMES

3.1. The period, within which a Cardholder may raise a dispute, and the applicable response timeframe, differ by Payment Scheme. These are prescribed by the Payment Schemes and apply regardless of the terms of the Merchant's individual Agreement.

3.2. At the date of this Policy, the following timeframes apply:

Payment Scheme	Filing / Response Timeframes
PayPak	Customer disputes may be accepted up to one hundred and eighty (180) days from the Transaction date.
Visa	Standard Chargeback filing window by Cardholder/Issuer is generally one hundred and twenty (120) calendar days; certain Reason Codes allow disputes up to five hundred and forty (540) calendar days from the Transaction processing date.
Mastercard	Chargebacks are generally subject to a one hundred and twenty (120) calendar-day filing timeframe for Cardholder/Issuer; certain Reason Codes allow disputes up to five hundred and forty (540) calendar days from the Transaction processing date.

3.3. The timeframes set out above are indicative and are based on the applicable Payment Schemes Rules, which and maybe amended periodically. The Payment Scheme Rules in force at the relevant time shall apply and prevail over Clause 3.2 to the extent of any inconsistent. Premier Payfast may update the timeframes set out in the Policy to reflect such changes.

3.4. Where any provision of this Policy conflicts with the applicable Payment Scheme rules, the Payment Scheme rules shall prevail to the extent of that inconsistency.

SECTION 4. CHARGEBACK PROCESS

Every Chargeback, whether relating to a Direct Merchant or a Sub-Merchant, is handled through the stages set out below, from initiation through to resolution. Each stage sets out the applicable process, responsibilities

and, where relevant, the corresponding impact on settlement. Where a Chargeback relates to a Sub-Merchant, the applicable responsibilities of the Super Merchant or Aggregator are also identified at the relevant stage.

4.1. Stage 1: Dispute Initiation by the Cardholder

4.1.1. A Chargeback arises in the following sequence:

(a) the Cardholder raises a dispute with the Issuer in respect of a Transaction;
(b) the Issuer reviews the dispute against the applicable Payment Scheme Rules and the relevant Chargeback Reason;
(c) where the dispute meets the given criteria, the Issuer raises a Chargeback and notifies the Acquirer; and
(d) the Acquirer notifies Premier PayFast of the Chargeback, the Chargeback Reason, the disputed amount and the applicable response deadline.

4.1.2. Stages (a) to (c) occur before Premier PayFast is involved.

4.1.3. An Issuer may issue a Retrieval Request in respect of a Transaction before raising a Chargeback. Where Premier PayFast receives a Retrieval Request it shall notify the Merchant, and the Merchant shall provide the documentation requested within the period stated in that notice. A Retrieval Request does not of itself give rise to a Settlement Withholding.

4.2. Stage 2: Chargeback Notification

4.2.1. Premier PayFast notifies the Merchant of the Chargeback as soon as reasonably practicable upon receipt of a Chargeback Notification from the Acquirer (and, where a Sub-Merchant is involved, also the Super Merchant or Aggregator), including the reason, Transaction reference, amount, response deadline, and required Fulfillment Documentation.

4.2.2. Premier PayFast shall simultaneously withhold the relevant disputed amount from the Settlement otherwise payable to the Merchant, Super Merchant or Aggregator for twenty-five (25) days from the relevant Settlement date, or for such longer period as may be reasonably necessary where the Chargeback remains unresolved, the supporting documentation is incomplete, or the Acquiring Bank or applicable Payment Scheme requires further information or documentation. Any such withholding shall apply only on amounts otherwise payable by Premier PayFast to the relevant Merchant, Super Merchant or Aggregator; it is not, and does not constitute, the holding of consumer or participant funds within the meaning of the Payment Systems and Electronic Funds Transfer Act, 2007.

4.3. Stage 3 Merchant Response and Fulfillment

4.3.1. Upon receipt of the Chargeback Notification, the Merchant must review it carefully, noting the Reason, disputed amount, and the response deadline. Thereafter, the Merchant shall have five (5) Business Days from the date of Premier PayFast's notification to submit all relevant Fulfillment Documentation to Premier PayFast for review and submission.

4.3.2. Where the applicable Payment Scheme or Acquirer deadline requires a shorter period, Premier PayFast shall notify the Merchant of the shorter deadline, and that deadline shall apply. Where Premier PayFast requests further or clarifying documents during its review, the Merchant shall provide them within the timeline mentioned by Premier PayFast.

4.3.3. The Merchant must elect within this fulfillment period to either: (a) accept the Chargeback liability (in which case the Settlement Withholding shall be applied in satisfaction of the Chargeback amount), or (b) contest the Chargeback by submitting supporting documentation and information, including relevant fulfilment records, as may be required under the applicable Payment Scheme Rules or Acquirer requirements to substantiate the Merchant's position to the satisfaction of the Acquirer and in accordance with the applicable Payment Scheme Rules.

4.3.4. Where a Sub-Merchant is involved, the Super Merchant or Aggregator shall be responsible for ensuring that the Sub-Merchant is responsive and provides the required Fulfillment Documentation within the given time frame and shall remain liable for the Chargeback and any related amounts arising in respect of the Sub-Merchant.

4.3.5. Premier PayFast may request any of the documentation listed below in Section 5, from the date of the Chargeback Notification, and may request further documentation at any stage of the dispute, including at Pre-Arbitration and Arbitration.

4.3.6. Where the Merchant fails to provide the required documentation within any extended timeframe, or the submitted evidence remains incomplete, insufficient, or does not satisfy the applicable Payment Scheme requirements, Reason Code criteria, or Acquirer requirements, PayFast may be unable to effectively represent the Chargeback. In such cases, the Chargeback may be deemed accepted and processed in accordance with the applicable Payment Scheme rules and Acquirer procedures. Any resulting Chargeback liability, fees, penalties or other amounts shall be borne by the relevant Merchant or, where applicable, the Super Merchant or Aggregator in respect of the relevant Sub-Merchant, and shall be recovered in accordance with the Agreement and this Policy.

4.4. Stage 4: Review and Submission to the Acquirer

4.4.1. Premier PayFast shall review all the Fulfillment Documentation for completeness, relevance and adequacy to the Chargeback Reason prior to submission to the Acquirer. Where the documentation is incomplete or does not adequately address the applicable Chargeback Reason or Acquirer requirements, Premier Payfast shall be return it to the Merchant for correction or supplementation, which the Merchant must provide promptly to to meet the applicable Payment Scheme timeframe for submission to the Acquirer. Once the documentation is considered satisfactory, Premier PayFast shall submit it to the Acquirer within the prescribed turnaround time for Representment to the Issuer.

4.4.2. Premier PayFast shall use reasonable effort to submit the Representment within the applicable window, and is not responsible for a Representment that cannot be submitted, or is rejected, because the Chargeback was time-barred due to delay in the provision of Fulfillment Documentation, incomplete Fulfillment Documentation or where the Fulfillment Documentation does not meet or satisfy the criteria of the relevant Payment Scheme.

4.4.3. The Submission of a Representment package does not guarantee a favorable outcome. The final determination remains subject to the evaluation of the Issuer, Acquirer, and applicable Payment Scheme. Incomplete, insufficient, or non-compliant evidence may result in the Representment being rejected and the Chargeback being upheld.

4.5. Stage 5: Issuer Review and Decision

4.5.1. The Issuer reviews the Representment. Where the Fulfilment Documentation are complete, sufficient and satisfy the criteria of the relevant Payment Scheme, the Chargeback is closed in the Merchant's favour and any deferred amount is released in the next Settlement cycle. Where a Chargeback is upheld following Issuer review and the Issuer Initiates Pre-Arbitration proceedings, the Acquirer communicates the decision to Premier PayFast.

4.6. Stage 6: Pre-Arbitration

4.6.1. Where the Chargeback is upheld and the Issuer escalates the matter, it proceeds to Pre-Arbitration.

4.6.2. Premier PayFast shall assess each Pre-Arbitration case before determining whether to recommend proceeding with the matter.

4.6.3. The Merchant (and, where applicable, the Super Merchant or Aggregator) will be informed of the assessment of the case and the associated costs and risks before any decision is made on whether to continue.

4.6.4. Where the Merchant elects not to proceed to Pre-Arbitration having been informed of the associated costs and risks, Premier PayFast will request for closure of the Pre-Arbitration proceedings and the Chargeback amount is adjusted through the withheld amount or recovered in accordance with Section 8

4.6.5. Where the Merchant, having been informed of the Chargeback team's assessment, the potential costs and risks associated with proceeding, nevertheless elects to contest the Pre-Arbitration, and requests that the matter be submitted to the Acquirer and/or Payment Scheme, Premier PayFast will proceed with the submission, subject to the applicable Payment Scheme rules and internal approval requirements. Settlement Withholding may be applied over the next settlement payable to cover the Pre-Arbitration costs, any related fee, and an Arbitration fee hold may also apply.

4.6.6. Where the Pre-Arbitration is proceeded with and is subsequently determined adversely against the Acquirer/Merchant, the Merchant shall remain liable for the Chargeback amount and any applicable Arbitration fees, scheme-related fees, penalties or other costs arising in connection with the matter, in accordance with this Policy and the applicable Payment Scheme rules. Premier PayFast, in its capacity as a payment service provider and intermediary, shall bear no financial liability in respect of Pre-Arbitration costs or adverse determinations.

4.7. Stage 7 Arbitration

4.7.1. Where Pre-Arbitration is exhausted and the Issuer declines to accept the Acquirer's response, the matter escalates to formal Arbitration before the applicable Payment Scheme, whose determination is final and binding. Compelling evidence, fully aligned with applicable Payment Scheme guidelines, is essential at this stage.

4.7.2. If the outcome is not in favour of the Merchant, all Arbitration fees, related charges, and the principal Chargeback amount become recoverable from the Merchant (and, where recovery from a Sub-Merchant is insufficient, from the Super Merchant or Aggregator). Premier PayFast, acting as a payment service provider and intermediary, bears no financial liability for Arbitration costs or adverse determinations.

4.7.3. A Chargeback resolved in the Merchant's favour results in release of the Settlement Withholding and in the next applicable settlement cycle

4.8. Stage 8 Resolution and Recovery

4.8.1. Where the Chargeback is accepted or upheld, the liability is recovered in accordance with Section 8 and, where the Merchant is a Sub-Merchant, Section 11.

4.9. Where, at any stage of the Chargeback process, the Chargeback cannot be submitted, Represented or otherwise progressed within the applicable Payment Scheme or Acquirer timeframe due to the Merchant's delay, failure to respond, or failure to provide complete, sufficient or compliant documentation or information, and the Chargeback is subsequently upheld or otherwise results in a liability against Premier PayFast, the resulting Chargeback amount, fees, penalties and other applicable costs or amounts shall be borne by the Merchant or, where applicable, the Super Merchant or Aggregator in respect of the relevant Sub-Merchant.

SECTION 5. FULFILMENT DOCUMENTATION

5.1. The Merchant shall maintain, and shall provide to Premier PayFast on request, all records necessary to contest the Chargeback, establish the legitimacy of a disputed Transaction and the delivery or performance of the goods or services to which it relates. Premier PayFast may request any of the documentation described in this Section 5 from the date of the Chargeback Notification, and may request further documentation at any stage of the dispute, including at Pre-Arbitration and at Arbitration.

5.2. Fulfilment requirements may vary depending on the applicable Payment Scheme, dispute category, Chargeback Reason / Chargeback Reason Code, dispute stage, regulatory requirements, and Acquirer instructions. Merchants are responsible for maintaining and providing all records necessary to support the legitimacy and Fulfillment of the disputed Transaction within the applicable Payment Scheme timelines. For a Sub-Merchant, the Super Merchant or Aggregator is responsible for ensuring that the Merchant maintains and provides the necessary support and documentation within the applicable timeframe.

5.3. Fulfillment Documentation may include, without limitation:

5.3.1. proof of delivery, including signed proof of delivery, courier tracking records, delivery confirmation or shipment documentation;

5.3.2. Cardholder authorization, signed order forms or Transaction confirmation records;
5.3.3. the invoice, receipt, order details or Transaction records;
5.3.4. the refund, cancellation, shipping, return or exchange policy applicable at the time of the Transaction, together with evidence that it was communicated to the Cardholder;
5.3.5. correspondence with the Cardholder, including email, chat records, SMS, call logs or other communication records;
5.3.6. access logs, IP logs, device information, authentication records or usage logs, where the Transaction relates to digital goods or services;
5.3.7. evidence of Cardholder authentication, including 3D Secure authentication records;
5.3.8. any documentation establishing that the goods or services were delivered, received, accessed, used or otherwise fulfilled in accordance with the Merchant's terms; and
5.3.9. any further documentation, record or evidence required by the Payment Scheme, the Chargeback Reason, the Acquirer, a Regulatory Instruction or a subsequent stage of the dispute.

5.4. **Required Fulfillment Documents by Dispute Type**

The documentation ordinarily required depends on the basis of the dispute and are indicative and non-exhaustive:

Dispute Type	Documents Required
Fraud, Unauthorised Transaction	Signed authorization form, 3DS authentication record, IP log, device fingerprint, delivery confirmation, customer identity verification.
Goods / Services Not Received	Proof of delivery (signed receipt or courier tracking), delivery date confirmation, customer acceptance evidence, refund policy.
Goods Not As Described	Product description at time of sale, photos or screenshots, customer correspondence, return policy, evidence that product was received and used.
Credit Not Processed	Bank confirmation of refund issued, refund policy communicated to the customer, date of refund processing.
Cancelled Recurring Billing	Cancellation policy, evidence that cancellation was not received before the billing date, recurring terms disclosed to the customer.
Duplicate Transaction	Evidence that both Transactions are separate and legitimate; separate authorization records; customer confirmation of both Transactions.
Incorrect Transaction Amount	Transaction receipt showing the correct amount, authorization record, customer acknowledgment.

SECTION 6. CHARGEBACK RISK CLASSIFICATION

6.1. Every Merchant, whether onboarded directly or as a Sub-Merchant, is classified into Category A (Low Risk) or Category B (High Risk) at onboarding, and monitored and reviewed periodically thereafter. Classification determines Settlement treatment and informs the Risk-Based Settlement Hold Mechanism described in Clause 7.6.

6.2. Category A

6.2.1. A Merchant may be classified as Category A where, having regard to its overall risk profile and the assessment undertaken by the Business Team, Risk Management Team and/or senior management, all of the following factors are present, as applicable:

(a) an established, large scale business of sound financial standing;
(b) a verifiable operating history and a satisfactory risk profile
(c) a normal or standard risk merchant category code;
(d) Transactions are authenticated using 3D Secure;
(e) a Chargeback-to-Sales Ratio at or below 2%;
(f) Fulfillment Documentation submitted is within the period specified in Clause 4.3;
(g) no adverse fraud, refund or compliance trend;

6.2.2. Standard Settlement processing applies to a Category A Merchants, and no Settlement Withholding is generally applied in advance of resolution, save where Clause 7.2.1(b) or Clause 7.2.1(c) applies.

6.3. Category B

6.3.1. A Merchant may be classified in Category B where any one or more of the following factors is present:

(a) limited financial capacity or evidence of financial weakness;
(b) a merchant category code designated as high risk under the Payment Scheme Rules, Acquirer or by Premier PayFast;
(c) a predominantly international Cardholder base;
(d) card-not-present Transactions processed without 3D Secure authentication;
(e) the Merchant deals in goods or services characterized by structurally elevated dispute rates;
(f) a Chargeback-to-Sales Ratio above 2% in any calendar month;
(g) repeated failure to meet the response periods set out in this Policy;
(h) an adverse fraud, refund or compliance finding;
(i) no adverse recovery trend;
(j) irregular, inconsistent or minimal Transaction activity;
(k) any other factor identified by the business team, risk management team and/or senior management of Premier Payfast as indicating an elevated risk profile.

6.3.2. A Settlement Withholding is applied in respect of each Chargeback raised against a Category B Merchant, in accordance with Clause 7.2, and a Security Reserve may be required under the Agreement.

6.4. The classification of a Merchant under this Policy shall be subject to ongoing assessment and monitoring by the Business Team, Risk Management Team and/or senior management. The relevant team(s) may consider the Merchant's onboarding information, transaction activity, Chargeback and refund history, fraud and compliance indicators, business sector, operating history, financial standing and any other relevant risk factors in determining whether the Merchant continues to meet the applicable Category criteria.

6.5. Premier PayFast monitors the profile of the Merchants on a monthly basis. A Merchant classified in Category A may be reclassified to Category B where any of the Category B criteria is met. Reclassification to Category B shall result in the Merchant becoming subject to the additional requirements and controls applicable to Category B, including, where determined by Premier PayFast, the requirement to maintain a Security Reserve.

SECTION 7. SETTLEMENT WITHHOLDING AND ADJUSTMENT MECHANISM

7.1. Upon receipt of a Chargeback Notification or otherwise from the Acquirer, Premier PayFast shall, in accordance with the relevant Agreement, the applicable Payment Scheme Rules, the Acquirer's instructions and applicable law or regulatory requirements, implement a Settlement Adjustment or Settlement Withholding whereby it will either withhold, defer or adjust the Merchant's pending Settlement payable to the extent necessary to satisfy the relevant Chargeback liability or until resolution.

7.2. Settlement Withholding

7.2.1. On receiving notice of a Chargeback from the Acquirer, Premier PayFast shall withhold the disputed amount from Settlement where:

(a) the Merchant is a Category B Merchant;
(b) the Acquirer, the Payment Scheme or a Regulatory Instruction requires the amount to be withheld; or
(c) a risk indicator described in Clause 7.6.2 is present in respect of the Merchant or, where the Merchant is a Sub-Merchant, in respect of the Super Merchant or Aggregator.

7.2.2. Settlement Withholding is limited to the disputed amount, together with any Payment Scheme fee, Pre-Arbitration amount or Arbitration fee arising on the same Chargeback, and applies only to amounts otherwise payable by Premier PayFast to the Merchant, the Super Merchant or Aggregator.

7.2.3. Where none of the circumstances in Clause 7.2.1 applies, Settlement may continue in the ordinary course and any liability arising on resolution of the Chargeback is recovered under Section 8.

7.3. Where Clause 7.2 applies, a Settlement Withholding is applied, or an existing withholding is extended, on:

7.3.1. receipt of notice of a Chargeback from the Acquirer, specifying the Chargeback Reason, the disputed amount, the currency, the Transaction reference and the response deadline;
7.3.2. a request by the Acquirer, the Payment Scheme or a competent authority for further information or documentation, which extends the period of the withholding;
7.3.3. escalation of the dispute to Pre-Arbitration, requiring a further amount to be withheld to cover the Pre-Arbitration amount and any related fee;
7.3.4. escalation of the dispute to Arbitration, requiring a further amount to be withheld to cover the Arbitration fees and the principal Chargeback amount; or
7.3.5. receipt of a further Chargeback where the Settlement then payable is insufficient to cover the aggregate disputed amounts, requiring an incremental withholding.

7.4. Duration

7.4.1. A Settlement Withholding may usually remain in effect for twenty-five (25) calendar days from the date on which it is applied, or from such later date as the Acquirer or the Payment Scheme requires the disputed amount to be held pending resolution, or for such other period as the Payment Scheme Rules or the Acquirer require.

7.4.2. The withholding period may be extended for so long as is necessary where the Acquirer, the Payment Scheme, or a competent authority requests further information or documentation, or where the dispute proceeds to Pre-Arbitration, Arbitration or any other Payment Scheme process, and in each case until the dispute is concluded.

7.4.3. Where a withholding is required pursuant to a Regulatory Instruction, it continues for such period as may be required, or until the matter is resolved to the satisfaction of or otherwise concluded by, the relevant authority.

7.4.4. Where an additional Chargeback is received and the Merchant's pending Settlement is insufficient, the Settlement amount payable to the Merchant shall be kept withheld to reflect the additional Chargeback amount.

7.5. **Release and Settlement Adjustment**

7.5.1. Where a Chargeback is resolved in the Merchant's favour, Premier PayFast shall release the Settlement Withholding applied in respect of it in the next available Settlement cycle.

7.5.2. Where a Chargeback is upheld, Premier PayFast shall apply the Settlement Withholding in satisfaction of the resulting liability by way of Settlement Adjustment, and shall recover any shortfall in accordance with Section 8.

7.5.3. The amount recovered comprises the disputed Transaction amount together with all Payment Scheme fees, Pre-Arbitration and Arbitration fees, assessments, fines, penalties and costs arising in connection with the Chargeback, and the MDR, which is earned on processing and is not refunded where a Chargeback is upheld.

7.6. Risk-Based Settlement Hold

7.6.1. Separately from a Settlement Withholding in respect of a specific Chargeback, and whether or not a Chargeback is then pending, Premier PayFast may, acting reasonably, in good faith and on objectively identifiable basis, pause, extend or reapply a hold on Settlement otherwise payable to a Merchant, Super Merchant or an Aggregator, where reasonably necessary to manage or mitigate an identified financial, fraud, compliance or other material risk. Any such hold shall be proportionate to the nature and level of the relevant risk and may remain in place for such period as Premier PayFast reasonably considers necessary to address that risk.

7.6.2. A Risk-Based Settlement Hold may be triggered by:

(a) an elevated risk profile based on transaction and Chargeback history;
(b) a material adverse change in the Chargeback or refund trend, or in the Chargeback-to-Sales Ratio;
(c) adverse fraud or compliance indicators, including sanctions screening alert, a politically exposed person association or adverse media finding;
(d) a sustained pattern of non-response to Chargeback notifications;
(e) cessation or material reduction in Transaction activity;
(f) a Regulatory Instruction; or
(g) any other indicator of increased financial risk to Premier PayFast.

7.6.3. For a Super Merchant or Aggregator, this assessment may also take into account the risk profile and activity of its Sub-Merchant portfolio as a whole, and the hold may accordingly be applied at the individual Sub-Merchant level or at the Super Merchant or Aggregator level.

7.6.4. Premier PayFast shall notify the Merchant, or the Super Merchant/Aggregator where applicable, if a Risk-Based Settlement Hold is applied, stating the reason and, where reasonably practicable, the circumstances in which it may be released.

7.6.5. Premier PayFast shall review the continuing need for a Risk-Based Settlement Hold at least once every thirty (30) days. A hold applied pursuant to a Regulatory Instruction continues until the relevant clearance, release or final determination is received.

7.6.6. Where the Merchant is a Sub-Merchant, the assessment under this Clause may take into account the risk profile and activity of the Super Merchant/Aggregator's Sub-Merchant portfolio as a whole, and the hold may be applied at either the level of the individual Sub-Merchant or of the Super Merchant/Aggregator.

7.6.7. A Risk-Based Settlement Hold is in addition to, and not in substitution for, any Security Reserve and any Settlement Withholding.

SECTION 8. RESOLUTION AND SETTLEMENT ADJUSTMENT

8.1. Release and Recovery

8.1.1. Upon satisfactory submission of the Fulfillment Documentation and confirmation from the Acquirer that the Chargeback has been resolved in the Merchant's favour, Premier PayFast shall release the holding amount to the Merchant and/or Super Merchant/Aggregator, as applicable, in the next available Settlement cycle.

8.1.2. Where the Chargeback is upheld, the liability shall be satisfied as following:

(a) from the Merchant's Security Reserve, where held;
(b) from the settlement adjustment amount or Settlement Withholding in respect of the Merchant chargeback;
(c) set-off against the Merchant's future settlement cycles;
(d) Where the Sub-Merchant was onboarded through a Super Merchant or Aggregator and recovery under (a)–(c) is insufficient, including where the Sub-Merchant is no longer transacting, Premier PayFast shall notify the Super Merchant or Aggregator and hold the Super Merchant/Aggregator responsible for the outstanding liability;
(e) A direct request to the Merchant for the payment of the Chargeback liability;

8.1.3. Where recovery has not been achieved through the mechanisms stated in this Section 8, Premier PayFast may issue a final written reminder specifying the outstanding amount and the period within which it is to be paid, and where required, may issue a formal legal notice and institute proceedings for recovery of the outstanding amount together with all costs of recovery, including legal costs on a full indemnity basis. Nothing in this Clause requires Premier PayFast to issue a reminder or any further notice before issuing a legal notice or instituting proceedings

8.1.4. The liability of a Merchant for a Chargeback is not limited to, or capped by, the amount of any Settlement Withholding, Risk-Based Settlement Hold or Security Reserve, and survives the suspension, expiry or termination of the Agreement and the cessation of Transaction activity, until discharged in full.

8.1.5. Where the liability is not recovered in full under this Section, the shortfall is a debt due and payable by the Merchant and, where the Merchant is a Sub-Merchant, by the Super Merchant or Aggregator, and shall be paid to Premier PayFast within seven (7) Business Days of written demand, without set-off, deduction or counterclaim.

8.2. Right To Set-Off / Settlement Debit

8.2.1. Premier PayFast reserves the right to recover Chargeback liabilities from Merchants by way of adjustment from Settlement payables and set-off. The recovery measures do not constitute access to or holding of consumer or participant funds within the meaning of the PS&EFT Act, 2007. Recovery mechanisms include, without limitation:

a) Debiting current or future settlement amounts payable to the Merchant and/or Super Merchant/Aggregator, as applicable;
b) Adjusting from pending Settlement amounts and/or the Security Reserve (where applicable and agreed under the Merchant Agreement);
c) Adjusting settlement cycles until such liabilities are fully recovered; and
d) Any other amounts due and payable by Premier PayFast to the Merchant.

8.3. Any reference in this Policy to a "withholding", "reserve", "retention", or "settlement withholding" refers solely to an adjustment, withholding, restriction or deferment of settlement implemented by, or pursuant to the requirements of, the Acquirer, the applicable Payment Scheme, or a competent authority. Such references shall not be interpreted as Premier PayFast, in its capacity as a Payment System Operator (PSO) or Payment Service Provider (PSP), holding, controlling, or maintaining custody of consumer or participant funds within the meaning of the Payment Systems and Electronic Fund Transfers Act, 2007.

8.4. Each such withholding remains in effect for twenty-five (25) calendar days from the date it is effective, and continues for as long as necessary where additional documentation is requested, or where the dispute proceeds to Pre-Arbitration, Arbitration, or any other Payment Scheme process. Where withholding is required pursuant to a Regulatory Instruction, the period may be extended accordingly.

SECTION 9. PREMIER PAYFAST'S RESPONSIBILITIES

9.1. Role, Status and Liability

9.1.1. Premier PayFast acts as a Payment System Operator and Payment Service Provider licensed under the PSO/PSP Rules, and as an intermediary between the Merchant and the Acquirer in the Chargeback process. Premier PayFast does not determine the outcome of a Chargeback, which is determined by the Issuer, the Acquirer or the Payment Scheme in accordance with the Payment Scheme Rules.

9.1.2. The liability of Premier PayFast under or in connection with this Policy is governed exclusively by the limitation of liability, exclusion and disclaimer provisions of the Agreement. This Policy does not create, extend, vary or give rise to any liability of Premier PayFast beyond those provisions, and nothing in it is to be construed as an assumption of liability by Premier PayFast for a Chargeback, for the outcome of a dispute or for any loss arising from one.

9.1.3. Premier PayFast is not liable for: the determination of an Issuer, an Acquirer or a Payment Scheme; a Chargeback, Pre-Arbitration or Arbitration fee, assessment, fine or penalty; the failure or rejection of a Representment where the Fulfillment Documentation was provided late, incomplete or otherwise not in accordance with the Payment Scheme Rules; or any act, omission or delay of an Issuer, an Acquirer, a Payment Scheme or any other third party.

9.1.4. The rights of Premier PayFast to withhold, hold, adjust, set off, apply a Security Reserve, be indemnified and recover under the Agreement and under this Policy are cumulative, are in addition

to any other right or remedy available to it, and are not subject to and shall not be limited by any cap on liability in the Agreement.

9.1.5. The obligations of a Merchant and of a Super Merchant/Aggregator under this Policy in respect of payment, indemnity, reimbursement, set-off, Security Reserve and record retention survive the suspension, expiry or termination of the Agreement until discharged in full.

SECTION 10. DIRECT MERCHANT'S RESPONSIBILITIES, LIABILITY AND RECOVERY

10.1. This Section applies to a Merchant that has entered into a Merchant Agreement with Premier PayFast. Where the Merchant is a Sub-Merchant, this Section applies to that Sub-Merchant in addition to Section 11, and the Super Merchant or Aggregator shall procure compliance by it with every obligation in this Section.

10.2. Core Responsibilities of the Merchant

10.2.1. In connection with the management and resolution of Chargebacks, each Merchant or Sub-Merchant, as applicable, shall:

(a) respond to each Chargeback Notification within five (5) Business Days, or within any shorter period notified by Premier PayFast where required by the applicable Payment Scheme rules, and provide complete and relevant supporting documentation. Any further information or documentation reasonably requested by Premier PayFast in relation to a Chargeback shall be provided promptly, or within such other period as may be specified in the request, to meet the given timeframe;

(b) maintain accurate and complete records relating to Transactions, including Fulfilment documentation, proof of delivery, customer communications and other records reasonably required for the investigation and resolution of a Chargeback, for at least eighteen (18) months or such longer period as may be required under the Agreement, applicable law or Payment Scheme rules;

(c) maintain appropriate internal procedures and designated personnel for the timely handling of Chargeback Notifications and related requests for information, and make that procedure available to Premier PayFast on request;

(d) cooperate with Premier PayFast in connection with any Chargeback, including any review, representment, pre-arbitration, arbitration, audit, Payment Scheme process, regulatory enquiry or legal proceeding, and provide such information and documentation as may reasonably be required;

(e) permit Premier PayFast, upon reasonable written notice and subject to applicable confidentiality requirements, to review records relating to disputed Transactions and obtain copies of such records where reasonably required for the management or resolution of a Chargeback;

(f) communicate applicable refund, return and cancellation policies to the Cardholder clearly, at the time of sale and before the Transaction is completed, and ensure that those policies are applied consistently;

(g) promptly notify Premier PayFast of any material change to its business, operations or transaction profile that may reasonably affect its risk profile or the management of Chargebacks;

(h) have a satisfactory refund, fraud and compliance profile, Chargeback-to-Sales Ratio at or below 2%, authenticate card-not-present Transactions using 3D Secure where available, and monitor its Chargeback, refund and fraudulent-transaction activity;

(i) notify Premier PayFast promptly of any dispute, threatened dispute, claim, regulatory enquiry or investigation relating to a Transaction of which it becomes aware; and

(j) deliver the goods or services in accordance with the policies disclosed to the Cardholder and within the time represented at the point of sale.

10.3. Non-Engagement and Risk Mitigation Measures

10.3.1. Where a Merchant fails to respond to a Chargeback Notification or otherwise fails to provide information or documentation within the applicable timeframe, the Chargeback may be processed on the basis of the information available to Premier PayFast at the relevant time, be time-barred and/or may be deemed accepted where permitted under the applicable Payment Scheme rules.

10.3.2. Where there is continued non-engagement, repeated failure to comply with the requirements of this Policy, or adverse Chargeback, fraud or other risk indicators, Premier PayFast may, subject to the Agreement and applicable requirements, take such risk mitigation measures as may be reasonably necessary. These may include extending or maintaining a Risk-Based Settlement Hold, requiring or increasing a Security Reserve, applying appropriate settlement restrictions, or reviewing the applicable risk classification.

10.3.3. Any such measures shall be considered having regard to the circumstances of the Merchant/Sub-Merchant, the nature and severity of the relevant risk indicators, the applicable Payment Scheme requirements and the terms of the Agreement.

10.4. Settlement Withholding, Holds and Adjustment

10.4.1. Where a Chargeback is raised in respect of a Transaction of the Merchant, Premier PayFast may withhold the disputed amount from Settlement in accordance with Clause 7.2, may apply, extend or reapply a Risk-Based Settlement Hold in accordance with Clause 7.6, and may require a Security Reserve under the Agreement.

10.4.2. Where the Chargeback is resolved in the Merchant’s favour, the amount withheld is released in the next available Settlement cycle in accordance with Clause 7.5. Where the Chargeback is upheld, the amount withheld is applied in satisfaction of the resulting liability by way of Settlement Adjustment.

10.4.3. The amount recovered comprises the disputed Transaction amount together with all Payment Scheme fees, Pre-Arbitration and Arbitration fees, assessments, fines, penalties and costs of any kind arising in connection with the Chargeback, and the Merchant Discount Rate, which is earned on processing and is not refunded where a Chargeback is upheld.

10.5. Recovery from the Merchant

10.5.1. Where a Chargeback is upheld, Premier PayFast may recover the resulting liability, in any order and by any combination of the following:

(a) application of any Settlement Withholding or Risk-Based Settlement Hold then held in respect of the Merchant;
(b) application of the Security Reserve, where one is held;

(c) set-off against Settlement then or thereafter payable to the Merchant, including by adjustment of successive Settlement cycles until the liability is discharged in full;
(d) debit of any other amount then or thereafter due and payable by Premier PayFast to the Merchant; and
(e) written demand on the Merchant for payment of the outstanding amount.

10.5.2. Where the liability is not recovered in full under Clause 10.5.1, the shortfall is a debt due and payable by the Merchant, and shall be paid to Premier PayFast within seven (7) Business Days of written demand, without set-off, deduction or counterclaim.

10.5.3. The liability of the Merchant is not limited to, or capped by, the amount of any Settlement Withholding, Risk-Based Settlement Hold or Security Reserve, and survives the suspension, expiry or termination of the Agreement and the cessation of Transaction activity, until discharged in full.

10.6. Set-Off and Legal Recourse

10.6.1. Premier PayFast may set-off any amount owed by the Merchant under this Policy against any amount then or thereafter payable by Premier PayFast to the Merchant, including Settlement, revenue share, fees and any other sum, and may adjust successive Settlement cycles until the liability, including Chargeback amount is recovered in full.

10.6.2. Where any amount remains outstanding, Premier PayFast may issue a formal legal notice to the Merchant and institute proceedings for recovery of that amount, together with all costs of recovery, including legal costs on a full indemnity basis. Premier PayFast is not required to issue a reminder or any further notice before doing so.

10.6.3. The rights in this Clause are exercised in accordance with the Agreement, the Payment Scheme Rules and Applicable Law, and do not constitute access to, or the holding of, consumer or participant funds within the meaning of the PS&EFT Act.

SECTION 11. SUPER MERCHANT AND AGGREGATOR RESPONSIBILITIES, LIABILITY AND RECOVERY

11.1. Where a Merchant has been onboarded through Super Merchant or an Aggregator, Chargebacks, fraud losses, scheme assessments or other dispute-related liabilities of the Sub-Merchant may be received from the Acquirer in respect of Transactions processed by such Sub-Merchant.

11.2. Super Merchant or Aggregator Responsibility

11.2.1. Where a Chargeback or other dispute-related liability is raised in respect of a Sub-Merchant, Premier PayFast shall initially process the matter in accordance with the applicable Payment Scheme Rules and the instructions of the Acquirer. The Super Merchant or Aggregator shall remain directly and primarily responsible for ensuring that the Sub-Merchant complies with all Chargeback-related obligations under this Policy.

11.2.2. Where the relevant liability cannot be recovered from the Sub-Merchant, including due to insufficient settlement amounts, Merchant inactivity, account closure or default, Premier PayFast may seek recovery from the Super Merchant or Aggregator to the extent provided under the Agreement or any other applicable contractual arrangement. This entitlement arises independently of any recovery action taken against the Sub-Merchant and is not contingent upon the exhaustion of all remedies against the Sub-Merchant before recourse is had to the Super Merchant or Aggregator.

11.3. Super Merchant or Aggregator Obligations

11.3.1. Each Super Merchant or Aggregator shall:

(a) ensure that all of its onboarded Sub-Merchants comply with the Chargeback Policy in its entirety, including the obligation to submit Fulfillment documentation within the prescribed timeframe;
(b) maintain accurate and complete records of Sub-Merchant Chargeback activity and proactively assist Premier PayFast in recovering disputed amounts from Sub-Merchants;
(c) upon receipt of written notification from Premier PayFast of a Chargeback, or Settlement Withholding applied to a Sub-Merchant's pending settlement payable, take immediate steps to facilitate recovery from the Sub-Merchant;
(d) procure compliance by each of its Sub-Merchants with every obligation in Section 10;
(e) procure that its agreement with each Sub-Merchant confers on Premier PayFast protection no less favourable than that contained in the Agreement and this Policy, including as to Chargeback liability, record retention and the inspection of records, and provide a copy of that agreement to Premier PayFast on request; and
(f) notify Premier PayFast promptly of any matter affecting the risk profile of a Sub-Merchant, including the cessation of its business, a change in the goods or services it supplies, the closure of its account or the commencement of insolvency proceedings against it.

11.4. Settlement Adjustments and Withholding

11.4.1. Where Settlement Withholding or adjustments become necessary in respect of a Sub-Merchant:

(a) the Super Merchant or Aggregator shall be notified in writing of the relevant Chargeback, including the Merchant name, disputed Transaction details, Chargeback amount and applicable reason code;
(b) Where required under the Agreement, the applicable Payment Scheme Rules or Acquirer's instructions, the relevant Settlement payable shall be adjusted or withheld in accordance with Section 7 of this Policy;
(c) The Super Merchant or Aggregator shall be informed of any extension of the Settlement Adjustment period resulting from Pre-Arbitration, Arbitration, additional document requests or other dispute resolution processes.

11.5. Risk-Based Settlement Hold. Premier PayFast may apply Risk-Based Settlement Withholding on a Super Merchant or Aggregator or Sub-Merchant pursuant to the provisions of Section 7 of this Policy.

11.6. Recovery from Aggregator

11.6.1. Where recovery from the Sub-Merchant is not possible or is insufficient, Premier PayFast may pursue recovery from the Super Merchant or Aggregator. The recovery shall be subject to whether Settlement is done directly to the Sub-Merchant or to the Super Merchant or Aggregator.

a) Sub-Merchant with direct Settlement to Sub-Merchant account: The recovery shall be completed as follows:

i. Premier PayFast shall first adjust the Chargeback amount from the advance Chargeback withhold funds;

ii. Premier PayFast shall seek recovery of the outstanding amount from the Settlement payable to the Sub-Merchant;
iii. Where a Security Reserve is held against the Sub-Merchant or Super Merchant or Aggregator, it is applied toward the shortfall;
iv. Where the Sub-Merchant becomes non-transacting and recovery remains insufficient, Premier PayFast shall notify the Super Merchant or Aggregator in writing and request that the they assist in securing recovery from the Sub-Merchant;
v. Where the amount remains unrecovered notwithstanding such assistance, Premier PayFast shall be entitled, by way of set-off, to adjust the outstanding amount from any revenue share, fees, or settlement amounts then or thereafter payable to the Super Merchant or Aggregator, to the extent necessary to satisfy the liability;
vi. Premier PayFast may further adjust future Settlement instructions or payment cycles payable to the Super Merchant or Aggregator until the outstanding liability has been recovered; and
vii. Where recovery is still not achieved, Premier PayFast reserves the right to issue a formal legal notice and institute legal proceedings against the Super Merchant or Aggregator and/or the Sub-Merchant.

b) Sub-Merchant with settlement to Super Merchant or Aggregator account: The recovery shall be completed as follows:

i. Premier PayFast shall first adjust the Chargeback amount from the advance Chargeback withhold funds;
ii. Where any Security Deposit held against the Super Merchant or Aggregator, it shall be applied toward the shortfall;
iii. Premier PayFast shall deduct the outstanding amount from any sub merchant settlement payable to the Super Merchant or Aggregator;
iv. Where the deduction remains insufficient, Premier PayFast shall be entitled, by way of set-off, to adjust the shortfall from any revenue share, fees, settlement amounts, or other sums payable to the Super Merchant or Aggregator;
v. The Super Merchant or Aggregator may, in accordance with its contractual arrangements with the Sub-Merchant, separately recover or seek reimbursement of any Chargeback amount, fees, penalties, or other liabilities from that Sub-Merchant;
vi. Premier PayFast may further adjust future settlement instructions or payment cycles payable to the Super Merchant or Aggregator until the outstanding liability has been recovered; and
vii. Where recovery is still not achieved, Premier PayFast reserves the right to issue a formal legal notice and institute legal proceedings against the Super Merchant or Aggregator and/or the Sub-Merchant.

11.7. Set-Off and Legal Recourse

11.7.1. Premier PayFast may set off any amount owed by a Super Merchant or Aggregator under this Policy, including an amount arising on a Transaction of any of its Sub-Merchants, against any Settlement, revenue share, fee or other sum then or thereafter payable to it, including Settlement payable in respect of its other Sub-Merchants, and may adjust successive Settlement cycles until that amount is recovered in full.

11.7.2. Where any amount remains outstanding, Premier PayFast may issue a formal legal notice to the Super Merchant or Aggregator and to the Sub-Merchant, and may institute proceedings against either or both of them for recovery of that amount, together with all costs of recovery, including legal costs

on a full indemnity basis. Premier PayFast is not required to issue a reminder or any further notice before doing so, nor to proceed against the Sub-Merchant first.

11.7.3. Recovery by Premier PayFast from a Super Merchant or Aggregator is without prejudice to the right of that Super Merchant or Aggregator to recover the same amount from the relevant Sub-Merchant under its own contractual arrangements, to which Premier PayFast is not a party and for which it bears no responsibility.

11.7.4. The liability of a Super Merchant or Aggregator under this Section is not limited to, or capped by, the amount of any Settlement Withholding, Risk-Based Settlement Hold or Security Reserve, and survives the suspension, expiry or termination of the Agreement, the cessation of Transaction activity by any Sub-Merchant and the termination of any arrangement between that Super Merchant or Aggregator and a Sub-Merchant, until discharged in full.

11.8. Nothing in this Section shall be interpreted as authorizing Premier PayFast to receive, hold or maintain custody of Merchant, customer or participant funds. Any Settlement Adjustment or deferred release of Settlement amounts shall be implemented solely in accordance with the Merchant Agreement, the Aggregator Agreement, the acquiring partner bank's instructions, the applicable Payment Scheme Rules and Applicable Law.

SECTION 12. RECORD RETENTION, AUDIT AND INSPECTION

12.1. Merchants and Super Merchants and Aggregators are responsible for maintaining (and, for Aggregators, ensuring their Sub-Merchants maintain) transaction records, proof of delivery, and customer communications for at least eighteen (18) months, or for as long as reasonably necessary to support a potential dispute, noting that Payment Scheme rules permit disputes to be raised up to 540 calendar days from the transaction date under certain Reason Codes.

12.2. Premier PayFast may, on reasonable written notice, inspect or audit any record of a Merchant, Super Merchant or Aggregator relating to a Transaction, a Chargeback, a refund or a dispute, may take copies of it, and may submit those copies to the Acquirer, the Payment Scheme or a competent authority, in each case for the purpose of processing a Chargeback, conducting Representment, preventing fraud, complying with the Payment Scheme Rules, a Regulatory Instruction or Applicable Law, or enforcing the Agreement.

12.3. A failure to provide a record required under this Section, or to cooperate with an inspection or audit, may result in the application or extension of a Risk-Based Settlement Hold, the restriction or suspension of Settlement or of access to the Premier PayFast Platform, and may constitute a material breach of the Agreement.

12.4. A Merchant, Super Merchant or Aggregator that destroys or disposes of a record before the end of the retention period does so at its own risk, and remains liable for any Chargeback that cannot be contested as a result.

SECTION 13. QUESTIONS OR ASSISTANCE

13.1. Where a Merchant, Super Merchant or Aggregator has questions about a specific Chargeback, a Risk-Based Settlement Hold, required documentation, or the recovery process, it should contact its Premier PayFast relationship manager or the Merchant Support team.

13.2. Where a Merchant or Super Merchant or Aggregator wishes to query a Chargeback, a settlement adjustment or a Risk-Based Settlement Hold, it should do so in writing to the Merchant Support team. Premier PayFast

shall acknowledge the query within two (2) business days and respond within ten (10) business days of receipt.

13.3. Raising a query does not suspend or extend a response period under this Policy, a Payment Scheme deadline, or the obligation of a Merchant, Super Merchant or Aggregator to submit Fulfillment Documentation.

This document forms part of, and is incorporated into, the Merchant Agreement, Super Merchant Agreement or Aggregator Agreement, or Terms & Conditions, as applicable, between the Merchant and Premier PayFast (Private) Limited.